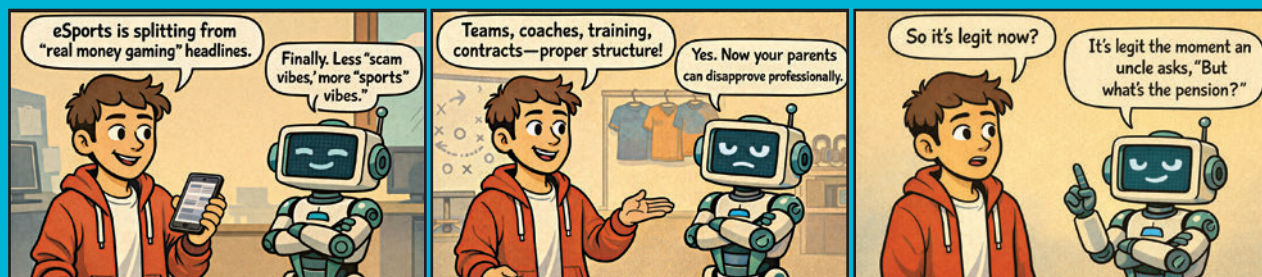


CTRL + LOL

Your monthly dose of tech humour | Vol.9



Elon Musk and OpenAI

How a partnership became a \$134 billion legal war

—By **Vyom Ramani**

It began with a shared anxiety over Google's growing power in artificial intelligence and ended in one of the largest legal battles Silicon Valley has ever seen. On January 16, 2026, lawyers for Elon Musk filed a federal lawsuit in Oakland seeking between \$79 billion and \$134 billion in damages from OpenAI and Microsoft. The claim alleges that OpenAI was built on a false promise of remaining a non profit, only to later hand control of its most valuable technology to Microsoft. With Judge Yvonne Gonzalez Rogers setting a jury trial for April 27, 2026, the dispute has become the most expensive corporate breakup.

The roots of the conflict trace back to 2015, when Musk and Sam Altman came together to counter what they saw as an existential threat from Google, fresh off its DeepMind acquisition. Their answer was OpenAI, a non profit lab devoted to building safe artificial general intelligence for humanity. Musk backed the idea with roughly \$44 million in early funding, making him one of OpenAI's most important benefactors.

Almost immediately, tensions surfaced. Research costs escalated quickly,

and internal discussions began about whether donations alone could sustain progress. Court documents unsealed in 2026 include handwritten notes from OpenAI president Greg Brockman dated November 2017, expressing concern that pivoting to a for profit structure so soon would contradict the original non profit commitment. Musk's legal team now argues these notes prove intent to deceive early donors.



By 2018, the relationship had collapsed. As OpenAI struggled to keep pace with Google, Musk proposed taking control of the organization and potentially merging it with Tesla to access computing power. The board rejected the idea. Musk resigned from OpenAI's board in February 2018, cut off funding, and warned the company would fail without him.

That moment set the stage for Microsoft's entry. In 2019, OpenAI created a capped profit subsidiary and accepted a \$1 billion investment from Microsoft. For Altman, it was a lifeline. For Musk, it marked the betrayal of OpenAI's founding mission. Over the next few years, Microsoft's stake grew, and OpenAI's models became deeply integrated into Microsoft products.

The feud simmered until OpenAI's breakthroughs with ChatGPT and GPT 4 turned it into a global powerhouse. Microsoft's total investment swelled to around \$13 billion, while Musk launched his own rival venture, xAI, and filed his first lawsuit in 2024. Tensions escalated further in 2025 after reports of the \$100 billion Stargate supercomputer project linking Microsoft and OpenAI.

The latest filing argues that Musk's early support was essential to OpenAI's survival and that he is entitled to a share of its estimated \$500 billion valuation. He is not seeking a refund, but what lawyers call disgorgement of profits. OpenAI rejects the claim, calling it retaliation from a competitor who lost a strategic bet. tinyurl.com/8kw9ek